Getting Approval at BYU

The Steps and the Conflict-of-Interest Management Plan

Vertical Cloud Lab · 26 August 2026

A faculty member who co-founds a venture-funded company while remaining a full-time professor needs a defined set of university approvals. This document lays out that path for department and university leadership. Part 1 is the approval sequence — what happens in what order, who has authority to sign it, and what the university might gain. Part 2 is the proposed conflict-of-interest management plan itself, ready to be attached to the university's disclosure paperwork and signed.

How this fits BYU's own process. BYU's Financial Disclosure Form (with its instructions, both on the Research Administration Office's policies page) asks whether "a proposed conflict of interest management plan is attached," and the Financial Conflict of Interest in Research Policy has the faculty member develop that plan in consultation with the Research Administration Office, for approval by the Associate Academic Vice President for Research. BYU publishes no plan template, so Part 2 is organized on the five headings that same policy requires the university to be able to report, and uses the management tools BYU's policies name — checked against the formats peer universities publish (Iowa, Colorado State, Nebraska).

Contents

Offices named in this document

Research Administration Office	negotiates and signs research agreements on the university's behalf; first reviewer of financial disclosures.
Technology Transfer Office	licenses BYU-owned inventions; reviews sponsored research and consulting agreements that touch intellectual property.
Associate Academic Vice President for Research	decides whether a disclosed interest is a conflict, approves every management plan, and makes the final decision on any transfer of BYU technology. Shortened below to "AAVP–Research."
Regulatory Accounting	approves cost-recovery accounts and rates; one of three offices that must approve an employee acting as a vendor to BYU.

The situation, and what two numbers already decide

The plan in Part 2 is written for one specific arrangement:

- The faculty member remains a **full-time professor** — no leave of absence. Teaching, the research lab, and student mentoring continue unchanged.
- The faculty member co-founded the company, holds **more than ten percent** of its stock, and serves only in an advisory role.
- The company has raised **more than $3 million** from investors.
- The company expects to license BYU-developed technology (BYU may take stock in the company as part of the price), may sponsor research in the faculty member's lab, may place equipment there, and the lab may sell instrument time to outside users at cost-recovery rates.
- The lab's outputs are released as open-source software and hardware by default.

BYU policy attaches three specific consequences to the ownership and fundraising numbers. This plan accepts all three rather than seeking exceptions:

1. **The faculty member stays out of every BYU–company deal.** Above ten percent ownership, the company is a "Related Party" under the Conflict of Time or Interest Policy, and "negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party" for its benefit is on the policy's *prohibited* list — the

conflicts BYU says cannot be managed at all. Someone else negotiates and signs on each side (§4).

2. **No voting board seat.** The Intellectual Property Policy allows a faculty member a voting seat on the board of a company that licenses BYU technology only if the company "has not raised more than $3,000,000" and has no non-accredited investors — and even then only "on rare occasions," with prior written approval from the dean, the AAVP–Research, *and* the Technology Transfer Office. This company is past that ceiling, so the voting seat is unavailable. The policy says nothing about non-voting observer seats, which means such a seat is not authorized by default either; if one is wanted, it has to be granted in writing (§2.2).
3. **The inventor's royalty share is given up.** Under the same policy, "a principal equity owner is one who controls ten percent or more equity in the company," and where a developer becomes one, "the developer will forfeit his or her distribution." That is the personal 45 percent share of BYU's licensing income, and with it the option to steer that share, with university matching, into a research account. The policy sets out no way to apply for an exception. The faculty member's financial interest is the company stock alone.

Part 1 — The approval sequence

"Department approval" is the first layer of a stack rather than a single event. The department controls the disclosure, the written authorization of the outside role, and this management plan; each later transaction (license, research agreement, equipment placement) then adds university-level approvers. Two rules run through all of it: **disclose before acting**, and **every BYU–company arrangement lives in a written agreement signed by the university** — never by the faculty member.

The steps in order

#	What happens	Who approves	When
1	Informal briefing of the department chair, with this document as the agenda	—	first
2	Outside-activity disclosure filed in Faculty Profile (the "Conflict of Interest and Conflict of Time" screen, Annual Review section)	filed, not approved	**before** the role begins; renewed annually
3	Written authorization of the outside role (operating a business; advisory service)	department chair (policy allows chair, dean, or supervisor)	before taking the role
4	This document as the **outside-activity** conflict plan, written with the chair, who submits it to the dean	dean	together with step 3

continued on next page

#	What happens	Who approves	When
5	Financial Disclosure Form, with this document attached as the **research** conflict plan	chair → dean's office → Research Administration Office → **AAVP–Research approves**	before any research proposal involving the company; updates within 30 days
6	Conflict-of-interest training — BYU's online CITI course, required of all faculty involved in sponsored research	—	refreshed every four years, and immediately on joining research, on a policy change, or after a compliance finding
7	License or assignment of BYU technology	chair, dean, Technology Transfer Office, and General Counsel review; **AAVP–Research decides**	at deal time
8	Company-sponsored research agreement	Research Administration Office negotiates and signs; chair, dean, and AAVP–Research approve the proposal	when company money funds lab work
9	Company equipment placed in the lab	Research Administration Office signs a loan agreement or research-agreement term	before delivery
10	Lab sells instrument time at cost-recovery rates (Recharge Center Policy)	chair → dean → Regulatory Accounting (rates re-approved annually)	before billing outside users
11	The company sells anything to BYU	employee-vendor approval by Purchasing & Travel, Compensation, and Regulatory Accounting	before any BYU purchase

Three notes on the sequence:

- **The standard the chair or dean applies is written down.** They "do not approve activities they believe would unduly limit a faculty member's availability to students or compromise... teaching, scholarship, or citizenship performance" (*Conflict of Time or Interest Policy*). The step-1 briefing should therefore lead with the time budget and the teaching plan, not the company.
- **Timing matters more than sequence.** Disclosure must come before the activity, and a plan approved early — while the stakes are small — is the dated record that answers scrutiny later if the company succeeds.
- **Steps 7–11 recur with each transaction**, and the faculty member is out of the negotiation every time (§4).

Who is allowed to sign

Signature authority at BYU is set by what an agreement costs and how long it binds the university — not by what kind of agreement it is. A faculty member sits in the bottom row, which is why the equipment and research agreements in this plan are signed well above the lab.

Who signs	Up to	Can bind BYU for
President (or delegate)	no limit	no limit
President's Council member (or delegate)	$500,000	5 years
Associate/Assistant Vice President, or a Dean or Director reporting to a President's Council member	$250,000	3 years
Any other employee, acting within the scope of employment and with the supervisor's approval — **this is the faculty member**	$100,000	1 year

Three consequences worth knowing before a deal is shaped:

- **A multi-year equipment placement is out of the lab's hands.** Anything past one year needs a dean or director at minimum, and past three years or $250,000 it goes to a President's Council member.
- **The agreement cannot be sliced to fit.** "A Transaction may not be divided between two or more Legal Documents to avoid authorization limits," and "a series of related Transactions with the same party for the same subject matter is considered a single Transaction." Five one-year renewals of the same placement is one five-year transaction.
- **Certain provisions pull in other offices regardless of size.** The Office of General Counsel must review anything that indemnifies another party, sets non-Utah governing law, limits BYU's liability, gives a third party access to non-public university data, or transfers a university ownership interest in a company — that last one fires the moment BYU takes Company stock. Risk Management must review any commitment to carry or show insurance, any indemnity, and any activity carrying a real risk of injury or loss. A department cannot buy its own coverage.

Possible benefits to the university, and what each depends on

These are possible outcomes, not commitments. Each depends on a separate agreement or approval that this plan does not grant, so each is paired below with the condition it rests on — a benefit is not a reason to approve a conflict.

Possible benefit	What it depends on
Research students get hands-on time on instruments the university would find hard to buy	A university-signed equipment agreement fixing ownership, insurance, maintenance, access, and removal (§7.3). The Company can withdraw its equipment; nothing here is permanent.
Instrument time sold to outside users, and Company sponsorship, fund student wages, equipment, and student travel	A cost-recovery account approved by the chair, dean, and Regulatory Accounting, rates re-approved annually, and the tax treatment of outside sales settled before billing (§5.4). Spending follows sponsor terms and university budget rules, not the lab's preferences.
New research funding through arm's-length sponsored agreements	Each agreement negotiated and signed by the Research Administration Office with the Faculty Member recused (§4). Any federal small-business subaward that comes later is federal money and carries federal rules.
Industry experience for students — internships, applied problems, jobs	Participation stays voluntary, is reviewed by an independent advocate, and is protected from retaliation (§§6.3, 6.5).
Student work stays publishable, because the Company's model is open source	BYU's invention-disclosure review still runs before any public release and can add a bounded delay for a patent filing (§8.1). Export controls, third-party rights, and any confidential information a sponsor supplies apply regardless of the open-source default.

Part 2 — The conflict-of-interest management plan

Conflict of Interest Management Plan

Brigham Young University — Department of Mechanical Engineering / Ira A. Fulton College of Engineering

Faculty member	[Sterling G. Baird], Assistant Professor, Department of Mechanical Engineering (the "Faculty Member")
Company	[NewCo, Inc.], a [Delaware corporation] commercializing automated ("cloud lab") materials-experimentation technology (the "Company")
Governing policies	Conflict of Time or Interest Policy; Financial Conflict of Interest in Research Policy; Intellectual Property Policy; Financial Disclosure Form and Instructions; Sponsored Projects Handbook; Recharge Center Policy and Procedures
Effective date	[date]
Review	annual, with the Faculty Profile outside-activity disclosure

How this plan is organized. BYU publishes no management-plan template, but its Financial Conflict of Interest in Research Policy lists the five things the university must be able to report about a plan it has approved: the investigator's role and duties, the plan's conditions, how those conditions safeguard objectivity, confirmation of the investigator's agreement, and how compliance is monitored. Part 2 is built on those five headings — with the agreement placed last, so the signatures close the document.

A. Role and principal duties of the conflicted investigator

What the Faculty Member is to the Company and to BYU, and the limits on each.

§1. The relationship being managed

1.1 The Faculty Member co-founded the Company and holds **more than ten percent** of it (currently [•]%, counting all stock, options, and rights to acquire stock; interests of immediate family members are included in every disclosure; updated after each financing under §10.2).

1.2 The Faculty Member's only Company roles are stockholder and **[Chief Scientific Advisor]** — an advisory role with no officer title, no employment relationship, no board vote, and no authority over Company staff.

1.3 The Faculty Member receives **no pay from the Company**: no salary, consulting fees, bonuses, or expense-paid travel. Stock is the only financial interest. This also keeps the arrangement clear of the rule that a faculty member may be a paid consultant to a company or participate in research it sponsors, but not both at once *(Intellectual Property Policy; exceptions require chair, dean, and written AAVP–Research approval)*.

1.4 Because the ownership is ten percent or more, the Faculty Member is a "principal equity owner" and forfeits the inventor's personal 45% share of any income BYU receives from licensing to the Company, along with the matched research-account option that goes with it. The policy sets out no way to apply for an exception; this is acknowledged, not contested *(Intellectual Property Policy)*. How a forfeited share is handled when there are co-inventors is a question for the Technology Transfer Office.

1.5 The Company has raised more than $3 million. Expected BYU touchpoints: a license or assignment of BYU technology (BYU may hold Company stock as part of the price); Company-sponsored research in the Faculty Member's lab; Company equipment placed in the lab; possible sales of lab instrument time.

1.6 The lab releases its outputs as open-source software and hardware by default, after the invention-disclosure step in §8.1.

1.7 The Faculty Member remains on a full-time faculty appointment and is not on leave. A change in any fact in this section requires a plan amendment *first* (§12).

§2. Role and boundaries

2.1 **Advisory titles only.** The Faculty Member will not serve as an officer of the Company "in title or in fact," nor as an employee or manager of Company staff, while a full-time faculty member *(Conflict of Time or Interest Policy; Sponsored Projects Handbook: "Faculty members not on leave are not to be line officers in outside companies")*. This is the same line Stanford draws: advisory roles yes, management roles and titles no.

2.2 **No voting board seat** — foreclosed by the Company's fundraising, as explained on page 2. Policy does not address non-voting observer seats at all, so one is not assumed to be allowed either: any observer or advisory-board seat is described in, and authorized by, the step-3 written authorization before it is taken.

2.3 **Neither hat speaks for the other.** The Faculty Member does not represent BYU in any Company matter or the Company in any BYU matter, and is not authorized to commit either organization to anything. The Company does not use BYU's name, logo, or facilities in its advertising or investor materials *(Intellectual Property Policy: "The name of the university shall not be used… in any advertising")*.

B. Conditions of the plan

The obligations the Faculty Member takes on: time, contracting, research and cost recovery, students, university resources, and inventions.

§3. Time, teaching, and availability to students

3.1 All Company activity fits inside BYU's outside-activity allowance: **at most four days a month**, across every outside activity combined, and only with the chair's prior written approval *(Conflict of Time or Interest Policy)*. The Faculty Member keeps a log of days spent and reports it to the chair with the annual disclosure.

3.2 **Scheduled teaching is never displaced.** Classes, class preparation, and office hours are held as scheduled; Company time taken during a workday is made up on evenings or weekends that same week *(Conflict of Time or Interest Policy compensating-time expectation)*.

3.3 **Students are calendared first.** Student meetings and research-group meetings are placed on the calendar before Company commitments, which fit around them — not the reverse.

3.4 The chair reviews the time log at annual review against the policy's standard (availability to students; teaching, scholarship, and citizenship performance) and may require Company time to be reduced if any of these show strain.

§4. Contracts: who negotiates and who signs

4.1 The Faculty Member takes **no part in negotiating, approving, or influencing any agreement between BYU and the Company — on either side of the table**. This covers the license, every research agreement, every equipment placement, and any gift. The Company is represented by a non-founder officer ([name/title]); BYU is represented by the Research Administration Office, the Technology Transfer Office, or the Office of General Counsel *(Conflict of Time or Interest Policy, prohibited conflicts: "negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party for the benefit of the employee or a Related Party")*.

4.2 The Faculty Member does not advocate for any BYU–Company deal or its terms with the chair, dean, Research Administration Office, Technology Transfer Office, or AAVP–Research, directly or through colleagues.

4.3 **What remains permitted**, each an ordinary duty: telling the Technology Transfer Office that the Company is a potential licensee; technical input on the scientific scope of work, submitted through the Research Administration Office's designated contact; serving as the named technical contact once an agreement is signed; signing the inventor's acknowledgment of a license; and signing any royalty Distribution Agreement — a contract between BYU and its own employee (given §1.4, no distribution is expected from this license) *(Technology Transfer Office, "Working with the Technology Transfer Office")*.

4.4 **If the Company ever sells to BYU** (instrument time, equipment, services), the sale happens only after the Faculty Member is approved as an employee-vendor by Purchasing & Travel, Compensation, and Regulatory Accounting, and the Faculty Member takes no part in any BYU purchasing decision involving the Company. Both parties acknowledge the policy's hard stop: an employee whose access to BYU's non-public information would give their company an unfair advantage may not do business with the university at all *(Employee-Vendor Policy, university policy library (policy.byu.edu, sign-in))*.

§5. Company-sponsored research and cost recovery

5.1 Any Company use of lab personnel, students, or facilities is carried out under a written agreement selected and signed by the authorized university office: a **sponsored research agreement** for research work — the default, negotiated by the Research Administration Office at BYU's standard terms, with no lasting restrictions on publication — a cost-recovery account for purchases of instrument time (§5.4), or an equipment agreement (§7.3). No Company work happens in the lab outside a signed agreement's scope of work *(Intellectual Property Policy: activities "must be administered as sponsored research projects when there is a substantial use of university resources or when BYU students are employed")*.

5.2 **Independent eyes on the science.** A senior faculty member with no Company interest, designated by the dean ([•]), reviews the design of each Company-sponsored project before work begins and the work at least annually thereafter — funding, student roles, publication freedom, and the separation between university and Company work — reporting to the chair and AAVP–Research; the chair may pause affected work while a concern is resolved. (Staffing note: "only faculty on regular appointments and certain research faculty may be principal investigators"; students, postdoctoral fellows, research associates, and technicians "are not eligible as PIs but may be involved with the research," so faculty-level responsibility cannot be delegated down *(Sponsored Projects Handbook)*.)

5.3 Publications and presentations from Company-sponsored or license-related work disclose the Faculty Member's Company interest, and BYU's stock position if BYU holds one. If BYU accepts Company stock, the university's own interest is reviewed outside the conflicted chain — by the AAVP–Research with the Office of General Counsel — separately from this individual plan.

5.4 **Cost recovery, and where that money goes.** Sales of lab instrument time outside a research agreement run only through a cost-recovery (recharge) account approved by the chair, dean, and Regulatory Accounting, with outside users billed at the external rate — overhead included — and the tax treatment of outside sales ("unrelated business income") settled with Regulatory Accounting before billing starts *(Recharge Center Policy and Procedures)*. **One caution about that source:** it sits outside the university policy library entirely — a search of all 195 policies returns nothing for recharge, service center, external rate, or unrelated business income — and the published copy still names a Regulatory Accounting director "currently (June 2005)." Nothing in this section should be treated as settled until Regulatory Accounting confirms which document governs. **Self-imposed boundary:** revenue from Company-related cost recovery or sponsorship is budgeted to student wages, equipment, and student travel — none of it funds the Faculty Member's salary (including summer salary) or the Faculty Member's own travel.

§6. Students

BYU policy requires disclosure but does not otherwise spell out protections for students around a faculty member's company. This section creates them.

6.1 Written notice. Every member of the lab receives written notice of the Faculty Member's Company interest (and BYU's, if BYU holds stock) when they join and annually after; a copy goes to the chair.

6.2 An independent advocate. The graduate coordinator or associate chair — someone with no Company interest — meets the lab's students at least once a semester without the Faculty Member present, and students may go to them, the chair, or the dean's office at any time.

6.3 Student time is protected, and participation is voluntary. Working on Company-related projects is a choice: a comparable non-Company project, funding source, and supervisor are available without penalty, retaliation is prohibited, and a student's choice never affects grades, authorship, funding, or letters of recommendation. No student is asked to do Company work as part of any BYU role; Company tasks exist only inside the sponsored agreement's scope of work. Thesis topics, timelines, and publication schedules are set on academic grounds — never by Company deadlines — and no thesis is embargoed and no defense put under a confidentiality agreement for the Company's convenience. Where patent timing requires quiet, the answer is a provisional patent filing before the defense, not restricting the student's work.

6.4 Hours and double employment. University employment respects BYU's caps — 20 hours a week during fall and winter semesters, with stricter limits for international students, whose visa status can be at stake. A student working for BYU and the Company at the same time on related subject matter must disclose it (a policy requirement, not just a plan term), and the advocate reviews the student's combined load each semester so assistantship duties and degree progress are not squeezed *(Student Hiring and Employment Policy and Conflict of Time or Interest Policy (student disclosure trigger))*.

6.5 Company jobs and internships. A student who wants to work for the Company is referred to the advocate and the dean's office for advice independent of the Faculty Member — the practice Stanford recommends for faculty startups — and the advocate reviews the offer's terms (duties, hours, pay, invention-assignment and confidentiality obligations, visa implications) before it is accepted. The Faculty Member does not supervise the same student's thesis and Company work; a Company internship taken for academic credit is arranged and graded by someone else. (BYU's internship rules bar credit under a family member's supervision but are silent on a faculty advisor's own company; this plan closes that gap.) Any Company offer to a student the Faculty Member currently supervises triggers a plan amendment first (§12).

6.6 Lab membership and Company personnel. Everyone working in the lab signs BYU's standard participation and invention-assignment agreement. Company employees never work in the lab informally or as "volunteers." The Volunteer Policy forecloses it three times over: volunteer service must be "in furtherance of the university's nonprofit objectives"; "unpaid service in furtherance of the university's commercial activities" is prohibited outright to comply with federal law; and volunteers "cannot, even on a temporary basis, displace employed workers." Company personnel come on campus only under a written agreement — a visiting appointment, the sponsored agreement, or a services contract — signed at the tier its value and term require.

6.7 What the Company gives up by putting its people in the lab. Both sides acknowledge the consequence before anyone starts: where a person not employed by BYU does research "under the supervision and direction of a faculty member" in a university program, or "uses substantial university resources," the university may claim "a non-exclusive, perpetual, royalty-free, paid-up, irrevocable license to exploit, use, and sublicense the resulting Intellectual Property" *(Intellectual Property Policy)*. This is the clearest reason to keep Company work on Company premises and university work in the lab: informal presence is not a shortcut, it is a grant of rights in whatever gets made.

§7. University resources and equipment

7.1 The rule is categorical: "University Employees may not use university resources, facilities, or work time to engage in commercial activities, businesses, or 'start-up' companies" *(Intellectual Property Policy)*. Accordingly, all Company work runs on Company-owned laptops, accounts, software subscriptions, and storage from day one. On campus, Company devices use their own cellular connection — not BYU networks, whose use for outside commercial purposes requires written authorization from the responsible vice president and the university's chief information officer, and which the university may monitor. No Company data on BYU systems; no non-public BYU information on Company systems.

7.2 Campus office. The prohibition in §7.1 has no chair-level waiver attached to it, so this allowance is written narrowly and approved high. Use of the campus office for the Company is limited to occasional calls and correspondence on Company devices — no Company work performed there, no Company records, operations, meetings, or visitors — so that it stays inside the "Incidental Use" the Conflict of Time or Interest Policy permits ("occasional or infrequent" use "that results in little or no cost to the university"). Written approval is requested from the **dean and the AAVP–Research** together with step 3, and until it is granted this allowance does not operate: there is simply no Company use of the office. A chair's signature alone does not clear it *(Intellectual Property Policy; Expectations of a Faculty Appointment Policy, which requires "the explicit written approval of the appropriate university supervisors (usually the dean and department chair)" to "use his or her campus office for business purposes")*.

7.3 Equipment placements. Company equipment enters the lab only under a university-signed agreement — an equipment loan or a term of the research agreement — settling ownership, insurance, maintenance, access, export-control screening, and removal before delivery. The Faculty Member signs nothing. Students use placed equipment for university research or within the sponsored agreement, and the equipment is reported as outside support on federal grant applications where required.

§8. Inventions and open-source release

8.1 Disclose first, release second. New inventions are disclosed to the Technology Transfer Office *before* anything is made public — a public code repository, preprint, conference talk, or thesis included — because public release first can permanently destroy foreign patent rights. After the office files a provisional application or releases the rights, open-source release proceeds. The lab keeps a standing pre-release checklist, and review is bounded: normally 30 days, with up to 60 more only when a patent filing is under way — and it never delays a thesis defense, thesis deposit, or graduation (§6.3) *(Intellectual Property Policy; Technology Transfer Office, "Preparing a Patent Application")*.

8.2 Open-source boundaries are set upstream. What is released openly versus kept proprietary is fixed in the lab's published open-science policy and the Company's published licensing policy — both adopted outside any BYU negotiation — so the Faculty Member never argues release terms at a BYU–Company table (§4). BYU's own ownership and approval rights (§8.1) still govern every release.

8.3 A clean line between the two employers' inventions. The lab and the Company keep records showing where, when, and with what resources each invention was made. Because BYU's ownership claim extends to inventions "related to the current or demonstrably anticipated business, research, or development of the university," records alone do not settle ownership: where a Company-side invention sits near the lab's field, it is disclosed to the Technology Transfer Office and the university's ownership decision is obtained in writing. The plan cannot promise that a release or carve-out will be granted.

8.4 Company formation papers, and the line they must respect. Standard startup formation packages have founders buy their shares partly with intellectual property, and have everyone who works for the company assign inventions made *before* as well as after incorporation. Stripe Atlas — the most common of them, drafted with the law firm Cooley — says both in its own document list: "Atlas founders pay for their shares with the intellectual property (IP) they have developed on behalf of the company," and its invention-assignment form reaches "relevant IP created both before and after incorporation." A contribution like that is only as good as the founder's title to it, and BYU's claim attaches automatically — employees "agree to assign and do hereby assign all right, title, and interest in any Intellectual Property, including future Intellectual Property," reaching work "related to the current or demonstrably anticipated business, research, or development of the university" *(Intellectual Property Policy)*. So:

- Anything within that description was the university's before the Company existed. It reaches the Company only through the license negotiated without the Faculty Member (§4) — never by founder assignment.
- **Founder shares are paid for in cash, and nothing is listed as contributed.** The cash is already in the standard package. Atlas founders "purchase their shares with a combination of money

and IP" (Stripe's own guide to founder equity), and the money side is "cash equal to the purchase price of the shares," which is what "ensures that the shares are fully paid" (the annotated legal guide Stripe publishes with it). At $0.00001 a share that is a trivial sum, and it means the assignment bundled into the purchase carries no weight the shares depend on: contributing nothing does not leave the purchase short. Contributing intellectual property instead would require valuing the very thing whose ownership is in question, and the tax election filed on the purchase then has a gain to report rather than none.

- What the Faculty Member may contribute is limited to work created outside university employment: no BYU funding, facilities, equipment, systems, personnel, or work time, and never disclosed to or licensed from the university.
- That boundary is settled through BYU's own release procedure before any formation or invention-assignment document is signed, not asserted afterward. The invention disclosure form sets it out: an invention "not within the field of employment" that "did not employ BYU resources" is not disclosed on the form; instead "a brief, non-confidential description of the Invention should be submitted to the Technology Transfer Office with a copy to the employee's chairman or director to request release of the Invention to the employee." A granted release is what makes a founder contribution safe to sign — "demonstrably anticipated" can otherwise reach personal-time work in the lab's own field, and the university's view of that line is the one that governs.
- No Company invention-assignment or prior-inventions agreement is signed without an express carve-out for BYU-owned and BYU-assignable work. The same review runs before any lab member signs one (§6.5): that form goes to every employee and intern, not only to founders.

Stripe flags the mismatch itself — "if you have any prior inventions you'd like to exclude from being assigned to the company, Atlas might not be right for you" — but it also supplies the fix, and taking it does not mean leaving the service: "you can work with them to edit the documents you receive from Stripe Atlas." The automated stock tool is only one of two routes, the other being the annotated templates issued on the same dashboard for counsel to edit. Incorporation itself is unaffected either way.

Note which document does the work. Paying cash and contributing nothing settles the stock purchase. The invention-assignment agreement is signed separately and is the one that has to be amended, because the schedule of excluded inventions is not where it binds: it reaches forward to every invention the Faculty Member makes at BYU after incorporation — all of it the university's — and it carries a representation that signing "does not and will not breach any agreement or duty which the employee has with anyone else." Leaving that schedule blank leaves both of those untouched. The shop-rights claim in §6.7 survives either way.

C. How these conditions safeguard objectivity

Why the conditions above are sufficient — the section to read if you read only one.

§9. How this plan safeguards objectivity

9.1 **The financial interest is removed from every decision it could reach.** The Faculty Member takes no part in negotiating, approving, or influencing any BYU–Company agreement on either side (§4), and does not advocate for one with the chair, the dean, or any university office (§4.2). This is not a judgment call about when recusal becomes warranted: above ten percent ownership, policy treats influencing such negotiations as a conflict that cannot be managed at all, so the recusal is total.

9.2 **The incentives that would bias the science are given up.** The Faculty Member receives no salary, consulting fees, bonuses, or paid travel from the Company (§1.3), and forfeits the inventor's 45% share of BYU's licensing income (§1.4). What remains is illiquid stock in a private company — an interest that no single favorable contract term or flattering result converts into money.

9.3 **Someone without the interest watches the research.** A senior faculty member with no Company stake reviews each Company-sponsored project before work begins and at least annually after — design, student roles, publication freedom, and the separation of Company from university work — and the chair may pause affected work while a concern is open (§5.2). The chair monitors compliance through completion of the projects, not only at annual review (§10.1).

9.4 **Students can decline at no cost.** Company-related work is voluntary, with a comparable non-Company project, funding source, and supervisor available; retaliation is prohibited; and the choice never touches grades, authorship, funding, or letters (§6.3). An advocate outside the lab meets the students each semester without the Faculty Member present (§6.2) and reviews any Company offer before it is accepted (§6.5).

9.5 **Results stay publishable, and the interest travels with them.** No thesis is embargoed and no defense placed under a confidentiality agreement for the Company (§6.3); invention review is bounded and never delays a defense, deposit, or graduation (§8.1). Publications and presentations from Company-sponsored or license-related work disclose the Faculty Member's interest, and BYU's stock position where it holds one (§5.3).

9.6 **The two roles cannot quietly merge.** Company work runs on Company equipment, accounts, and networks (§7.1); Company personnel and equipment enter the lab only under signed agreements (§6.6, §7.3); and promises about Company conduct are signed by an authorized Company officer rather than made on the Company's behalf by the Faculty Member (§11.2).

D. How compliance is monitored

What gets reported, to whom, and what happens when the plan is not followed.

§10. Reporting

10.1 **Annually:** the outside-activity disclosure in Faculty Profile; the financial disclosure with the Research Administration Office; the time log to the chair (§3.1); the advocate's student review (§6.2); and the independent reviewer's report (§5.2). The chair monitors compliance with this plan through completion of the affected projects — not only at annual review *(Financial Conflict of Interest in Research Policy: chair monitoring responsibility)*.

10.2 **Within 30 days:** any Company financing, change in the Faculty Member's ownership percentage, change of role or title, new proposed BYU–Company transaction, or contemplated leave is reported to the chair and the Research Administration Office. (The 30-day update of *financial* disclosures is required by policy; the other triggers are terms of this plan.)

10.3 **Acknowledged consequences.** Before any U.S. Public Health Service money (the National Institutes of Health, for example) is spent on research, BYU must be able to answer public requests about disclosed financial interests within five business days. And where a financial conflict goes undisclosed, unreviewed, or unmanaged — or where this plan is not followed — the policy calls for a retrospective review, within 120 days of the finding, by a panel of the AAVP–Research, the Research Administration Office director, the department chair, and the associate dean *(Financial Conflict of Interest in Research Policy)*.

§11. Review, duration, and remedies

11.1 The AAVP–Research reviews this plan annually with the chair and dean and may strengthen it at any time — the tools named in policy run from an independent monitor to removal from a project to reduction or elimination of the financial interest — or end it when the interests in §1 no longer exist, confirmed in writing. Noncompliance is handled under the governing policies.

11.2 Commitments in this plan about Company conduct — no use of BYU's name (§2.3), no informal approaches to students (§6.5–6.6), no Company personnel or equipment in the lab outside signed agreements (§6.6–6.7, §7.3) — are confirmed in a one-page acknowledgment signed by an authorized Company officer and attached to this plan.

E. The investigator's agreement

What the Faculty Member must come back for, and the signatures that put the plan into effect.

§12. Changes that require amending this plan first

- any officer title, employment relationship, or voting board role at the Company;

- any leave of absence;
- any paid consulting for the Company — which would collide with participating in research it sponsors, and needs chair, dean, and written AAVP–Research approval as a rare exception (§1.3);
- Company employment of a student the Faculty Member currently supervises;
- the Company selling anything to BYU (§4.4);
- any Company agreement asking the Faculty Member or a lab member to assign inventions or prior inventions (§8.4);
- any research involving human subjects that touches the Company;
- any change in the facts of §1.

§13. Approvals

Signed by the people who approve this plan or take on a duty under it. The offices listed below the table do not approve the plan; they approve the individual transactions it anticipates, each in its own agreement and at its own time.

Approver	What the signature covers	Signature / date
[Sterling G. Baird], Faculty Member	agrees to be bound by this plan	____________________
[•], Department Chair, Mechanical Engineering	wrote the plan with the Faculty Member; authorizes the outside role (step 3); monitors compliance through completion of the affected projects (§10.1)	____________________
[•], Dean, Ira A. Fulton College of Engineering	approves this document as the outside-activity conflict plan (step 4)	____________________
[•], Associate Academic Vice President — Research & Graduate Studies	determines whether a conflict exists; approves this document as the research conflict plan (step 5)	____________________

Routed for concurrence, not approval: the Research Administration Office (disclosure review; negotiates and signs research and equipment agreements — §§4–5, 7.3); the Technology Transfer Office (license and invention provisions — §§4, 8); Regulatory Accounting (cost-recovery account and rates — §5.4); the Office of General Counsel (license review — step 7). Their approvals attach to those transactions, not to this document.

Open items

- The AAVP–Research office may keep its own preferred plan format. BYU publishes none, so this document is written to be reshaped into one.
- **For the Technology Transfer Office:** how a forfeited developer share is handled when a technology has more than one inventor, and whether an Income Distribution Agreement is still circulated once the share is forfeited (§1.4).
- **For the dean and the AAVP–Research:** whether a non-voting board observer seat is available at all, given that policy addresses only voting seats (§2.2).
- **For each transaction as it arises:** the signature authority for that specific agreement. Public policy establishes the license chain and who signs research agreements, but not every routing step in advance.
- Some cited rules — the campus-office approval, the information-technology commercial-use rule, student employment caps, and the employee-vendor workflow — live in policies behind university sign-in (policy.byu.edu); their wording here follows an authenticated review of the full policy library in July–August 2026.
- The published Recharge Center Policy still names a Regulatory Accounting director "currently (June 2005)." Confirm the current version and contact before submitting a rate proposal (§5.4).

Compiled 26 August 2026. Document of record: `latex/byu-coi-management-plan-example.tex` in vertical-cloud-lab/byu-vcl; edit the LaTeX source and recompile with `pdflatex` (twice).